

RBI, MONETARY POLICY AND LIQUIDITY MANAGEMENT

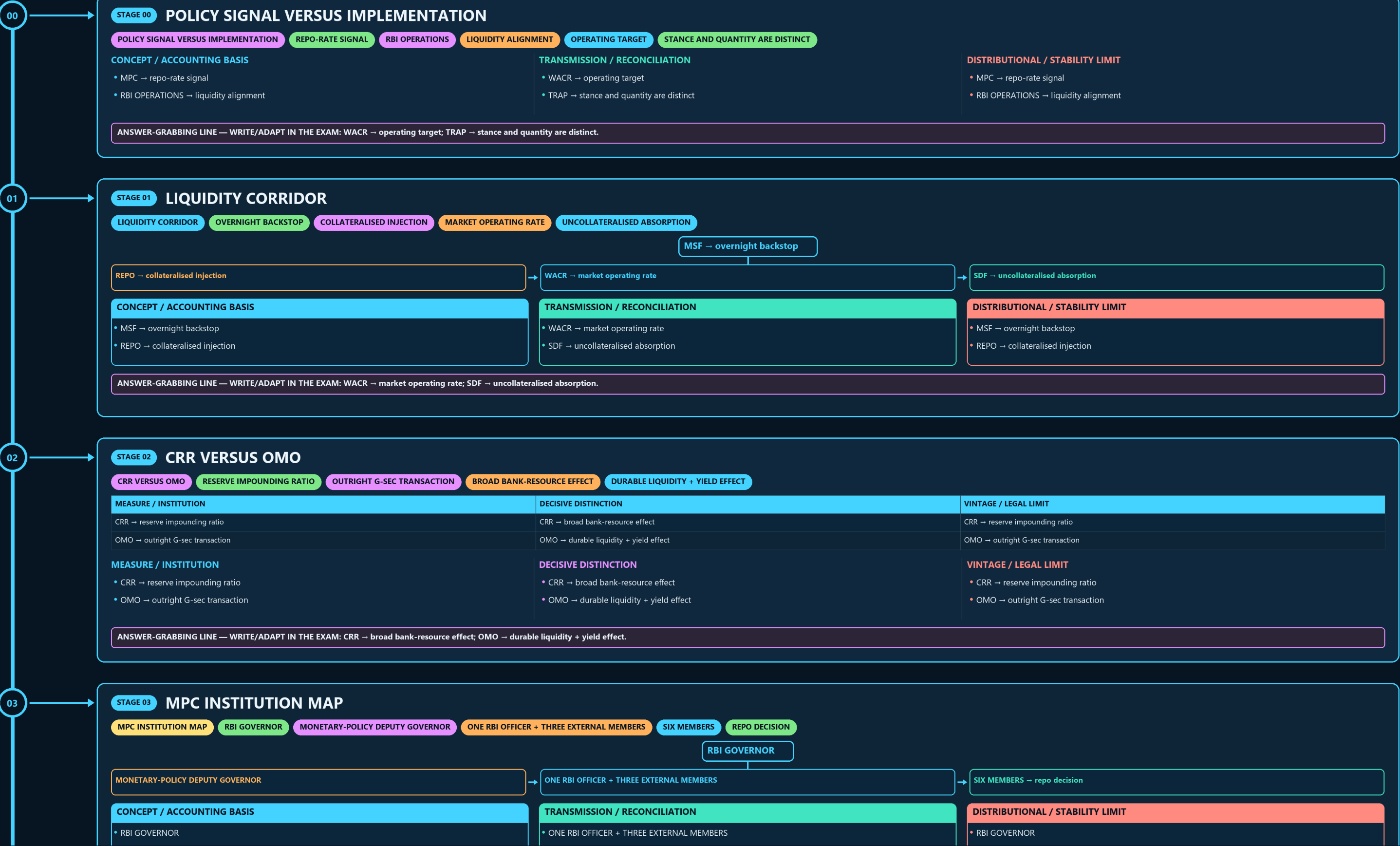
POLICY SIGNAL VERSUS IMPLEMENTATION → LIQUIDITY CORRIDOR → CRR VERSUS OMO → MPC INSTITUTION MAP → INFLATION TARGET FRAME → TRANSMISSION CHAIN

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



MEASURE / INSTITUTION

- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

DECISIVE DISTINCTION

- CRR → broad bank-resource effect
- OMO → durable liquidity + yield effect

VINTAGE / LEGAL LIMIT

- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CRR → broad bank-resource effect; OMO → durable liquidity + yield effect.

03

STAGE 03

MPIC INSTITUTION MAP

MPIC INSTITUTION MAP

RBI GOVERNOR

MONETARY-POLICY DEPUTY GOVERNOR

ONE RBI OFFICER + THREE EXTERNAL MEMBERS

SIX MEMBERS

REPO DECISION

MONETARY-POLICY DEPUTY GOVERNOR

ONE RBI OFFICER + THREE EXTERNAL MEMBERS

SIX MEMBERS → repo decision

RBI GOVERNOR

CONCEPT / ACCOUNTING BASIS

- RBI GOVERNOR
- MONETARY-POLICY DEPUTY GOVERNOR

TRANSMISSION / RECONCILIATION

- ONE RBI OFFICER + THREE EXTERNAL MEMBERS
- SIX MEMBERS → repo decision

DISTRIBUTIONAL / STABILITY LIMIT

- RBI GOVERNOR
- MONETARY-POLICY DEPUTY GOVERNOR

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ONE RBI OFFICER + THREE EXTERNAL MEMBERS; SIX MEMBERS → repo decision.

04

STAGE 04

INFLATION TARGET FRAME

INFLATION TARGET FRAME

NOMINAL ANCHOR

HEADLINE CPI

4 PER CENT

PLUS/MINUS 2 PERCENTAGE POINTS

PRICE STABILITY WHILE MINDFUL OF GROWTH

DATED SERIES / INSTRUMENT

- NOMINAL ANCHOR → headline CPI
- TARGET → 4 per cent

WHAT CHANGED

- TOLERANCE → plus/minus 2 percentage points
- MANDATE → price stability while mindful of growth

COMPARABILITY / STATUS LIMIT

- NOMINAL ANCHOR → headline CPI
- TARGET → 4 per cent

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MANDATE → price stability while mindful of growth.

05

STAGE 05

TRANSMISSION CHAIN

TRANSMISSION CHAIN

REPO + COMMUNICATION

WACR + FUNDING + DEPOSIT RATES

LENDING RATES + CREDIT + DEMAND

OUTPUT AND INFLATION WITH LAGS

REPO + COMMUNICATION

WACR + funding + deposit rates

lending rates + credit + demand

output and inflation with lags

CONCEPT / ACCOUNTING BASIS

- REPO + COMMUNICATION
- WACR + funding + deposit rates

TRANSMISSION / RECONCILIATION

- lending rates + credit + demand
- output and inflation with lags

DISTRIBUTIONAL / STABILITY LIMIT

- REPO + COMMUNICATION
- WACR + funding + deposit rates

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: lending rates + credit + demand; output and inflation with lags.

06

STAGE 06

PANDEMIC PACKAGE

PANDEMIC PACKAGE

REPO REDUCTIONS

CRR EASING

OMO PURCHASES

TARGETED LONGER-TERM LIQUIDITY

CRR EASING

OMO PURCHASES

TARGETED LONGER-TERM LIQUIDITY

REPO REDUCTIONS

CONCEPT / ACCOUNTING BASIS

- REPO REDUCTIONS
- CRR EASING

TRANSMISSION / RECONCILIATION

- OMO PURCHASES
- TARGETED LONGER-TERM LIQUIDITY

DISTRIBUTIONAL / STABILITY LIMIT

- REPO REDUCTIONS
- CRR EASING

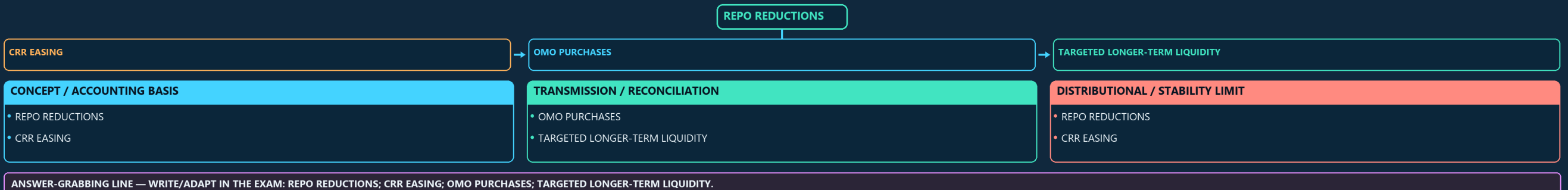
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REPO REDUCTIONS; CRR EASING; OMO PURCHASES; TARGETED LONGER-TERM LIQUIDITY.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: lending rates + credit + demand; output and inflation with lags.

06

STAGE 06 PANDEMIC PACKAGE

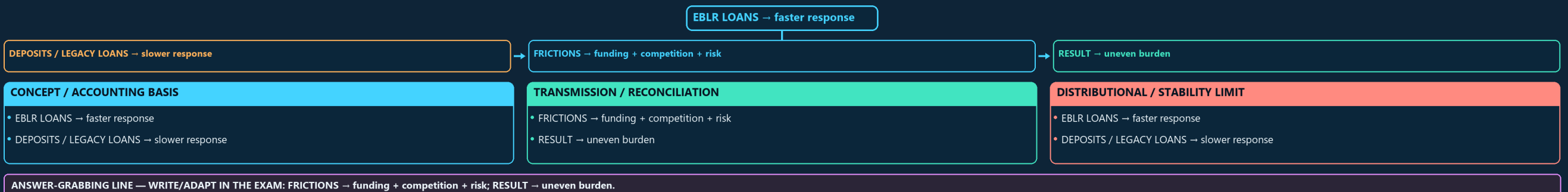
PANDEMIC PACKAGE REPO REDUCTIONS CRR EASING OMO PURCHASES TARGETED LONGER-TERM LIQUIDITY



07

STAGE 07 PASS-THROUGH FRICTIONS

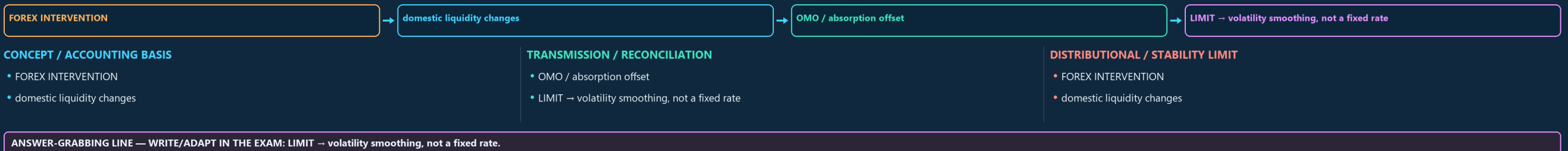
PASS-THROUGH FRICTIONS EBLR LOANS FASTER RESPONSE LEGACY LOANS SLOWER RESPONSE FUNDING + COMPETITION + RISK UNEVEN BURDEN



08

STAGE 08 FOREX-LIQUIDITY BRIDGE

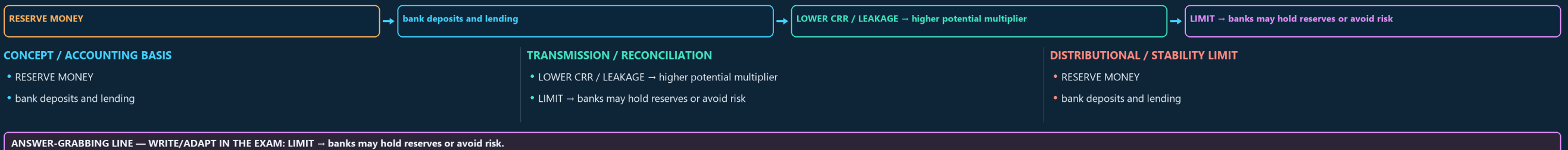
FOREX-LIQUIDITY BRIDGE FOREX INTERVENTION DOMESTIC LIQUIDITY CHANGES ABSORPTION OFFSET VOLATILITY SMOOTHING, NOT A FIXED RATE



09

STAGE 09 MONEY MULTIPLIER

MONEY MULTIPLIER RESERVE MONEY BANK DEPOSITS AND LENDING LOWER CRR HIGHER POTENTIAL MULTIPLIER BANKS MAY HOLD RESERVES OR AVOID RISK



09

STAGE 09

MONEY MULTIPLIER

MONEY MULTIPLIERRESERVE MONEYBANK DEPOSITS AND LENDINGLOWER CRRHIGHER POTENTIAL MULTIPLIERBANKS MAY HOLD RESERVES OR AVOID RISK

RESERVE MONEY

bank deposits and lending

LOWER CRR / LEAKAGE → higher potential multiplier

LIMIT → banks may hold reserves or avoid risk

CONCEPT / ACCOUNTING BASIS

RESERVE MONEY

bank deposits and lending

TRANSMISSION / RECONCILIATION

LOWER CRR / LEAKAGE → higher potential multiplier

LIMIT → banks may hold reserves or avoid risk

DISTRIBUTIONAL / STABILITY LIMIT

RESERVE MONEY

bank deposits and lending

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → banks may hold reserves or avoid risk.

10

STAGE 10

RBI BALANCE-SHEET TRAPS

RBI BALANCE-SHEET TRAPSNOTES ISSUEDFX INTERESTINCOME SOURCEPAYMENT STORAGESUPERVISORY DIRECTIONMATCH SPONSOR AND SUBJECT

G-SEC / FX INTEREST → income source

PAYMENT STORAGE → supervisory direction

COMMITTEES → match sponsor and subject

MEASURE / INSTITUTION

NOTES ISSUED → liability

G-SEC / FX INTEREST → income source

DECISIVE DISTINCTION

PAYMENT STORAGE → supervisory direction

COMMITTEES → match sponsor and subject

VINTAGE / LEGAL LIMIT

NOTES ISSUED → liability

G-SEC / FX INTEREST → income source

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PAYMENT STORAGE → supervisory direction; COMMITTEES → match sponsor and subject.

11

STAGE 11

MONETARY-POLICY ANSWER SPINE

MONETARY-POLICY ANSWER SPINEDIAGNOSE INFLATION AND OUTPUTSTATE MPC SIGNALMAP LIQUIDITY IMPLEMENTATIONTEST TRANSMISSION, GROWTH AND EXTERNAL LIMITS

DIAGNOSE inflation and output

STATE MPC signal

MAP liquidity implementation

TEST transmission, growth and external limits

CONCEPT / ACCOUNTING BASIS

DIAGNOSE inflation and output

STATE MPC signal

TRANSMISSION / RECONCILIATION

MAP liquidity implementation

TEST transmission, growth and external limits

DISTRIBUTIONAL / STABILITY LIMIT

DIAGNOSE inflation and output

STATE MPC signal

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MAP liquidity implementation; TEST transmission, growth and external limits.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENTSEPARATE STANCE, POLICY RATE, OPERATING TARGET, LIQUIDITY CORRIDOR ANDTHE FORMAL TARGET CONCERNS HEADLINE CPI, THE REPO ISTRANSMISSION CHANNELS INCLUDE INTEREST RATES, BANK CREDIT, ASSET PRICES

A LIQUIDITY DEFICIT CAN KEEP OVERNIGHT RATES FIRM EVENVARIABLE-RATE OPERATIONS CAN FINE-TUNE TRANSIENT LIQUIDITY WHILE OMOS ADDRESSFISCAL CASH BALANCES, CURRENCY LEAKAGE, CAPITAL FLOWS AND GOVERNMENTRBI'S BALANCE-SHEET ACTIONS CAN INFLUENCE BOTH RUPEE LIQUIDITY AND

OPTIONAL MODEL / MEASUREMENT DEPTH

CAUTION: Separate stance, policy rate, operating target, liquidity corridor and instruments;

CAUTION: The formal target concerns headline CPI, the repo is the MPC's policy signal and WACR

CAUTION: Transmission channels include interest rates, bank credit, asset prices, exchange rates

CAUTION: A liquidity deficit can keep overnight rates firm even when the announced stance is

VINTAGE, BASKET OR LEGAL LIMIT

CAUTION: Variable-rate operations can fine-tune transient liquidity while OMOs address durable

CAUTION: Fiscal cash balances, currency leakage, capital flows and government spending create

CAUTION: RBI's balance-sheet actions can influence both rupee liquidity and foreign-exchange

Monetary Policy Committee: decides the policy repo rate under the inflation

COMPARATIVE POLICY NUANCE

RBI Financial Markets Operations Department: conducts liquidity operations and

Scheduled commercial banks and primary dealers: transmit policy through money,

Government cash-management system: changes autonomous liquidity through taxes,

CAUTION: An OMO purchase injects durable liquidity by buying government securities outright.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.